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GROUP WORK ASSIGNMENT REPORT

Vietnam: Banking System and Its Role in the Macroeconomy

Course: Macroeconomics

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1. Introduction

1.1 Background and Significance

Since the Doi Moi reforms of 1986, Vietnam has been one of Southeast Asia's fastest-growing economies. Its banking system lies at the center of this growth: with capital markets still shallow, commercial bank credit is the primary mechanism through which savings are mobilized, investment is financed, and monetary policy reaches firms and households. The State Bank of Vietnam (SBV) manages this system as both central bank and prudential supervisor, balancing inflation control, growth support, and exchange-rate stability within a managed policy framework.

1.2 Research Objectives

This report pursues four objectives:

- Describe the institutional structure and market composition of Vietnam's banking system.
- Explain the macroeconomic theories underpinning the banking system's role in the economy.
- Present and analyze macro-financial data on credit growth, inflation, NPLs, and financial stability.
- Provide the group's own analytical evaluation of the system's strengths, vulnerabilities, and needed reforms.

1.3 Scope and Limitations

The report covers Vietnam's banking sector at the national level over 2019–2025, with 2026 government targets included for forward context. Data are drawn from the IMF, World Bank, SBV, and National Statistics Office of Vietnam (NSO). Limitations include potential understatement of NPL ratios due to regulatory forbearance, unavailability of granular bank-level microdata, and accounting-standard differences in cross-country comparisons.

2. Theoretical Framework

This section establishes the four theoretical lenses through which Vietnam's banking system is analyzed in this report. The theories are not independent — they build on each other: financial intermediation theory explains why banks dominate the Vietnamese economy; monetary policy transmission theory explains how the SBV uses banks to manage macroeconomic outcomes; development finance theory justifies the state's direct role in banking; and Minsky's Financial Instability Hypothesis warns of the systemic risk that accumulated bank dominance creates. Together, these theories predict that Vietnam's banking system will remain effective as long as credit quality is maintained — and fragile the moment it deteriorates.

2.1 Financial Intermediation Theory (Diamond, 1984)

Banks exist because they solve the fundamental information problem between savers and borrowers more efficiently than direct capital markets. Individual savers cannot screen thousands of loan applications, monitor whether borrowers use funds as agreed, or enforce repayment when things go wrong. Banks do all three at scale — and they do it at lower cost than direct markets because they pool risks across a large portfolio of loans.

In Vietnam, this theory carries exceptional weight because the institutions that normally share these functions in developed economies — bond markets, pension funds, insurance companies, and mutual funds — remain too small to provide meaningful competition to banks. Corporate bonds outstanding total less than 20 percent of GDP, and the equity market is dominated by short-term speculative trading rather than long-term capital allocation. As a result, Vietnam's commercial banks perform virtually all of the screening, monitoring, and enforcement functions that in more developed economies would be distributed across many institutions. This concentration explains a critical implication: in Vietnam, the health and efficiency of the banking sector is directly synonymous with the quality of the entire economy's resource allocation. When banks lend well, the economy grows efficiently; when banks lend poorly, the economy bears the full cost through misallocated capital, NPL accumulation, and eventual credit contraction.

2.2 Monetary Policy Transmission Channels (Mishkin, 1995; Bernanke & Gertler, 1995; Bernanke, Gertler & Gilchrist, 1999)

The monetary transmission mechanism describes the pathways through which SBV policy decisions affect real economic variables — output, investment, inflation, and employment. Three channels are most relevant to Vietnam, each operating with different speed, completeness, and distributional impact.

a) Interest Rate Channel

When the SBV cuts its refinancing rate, banks' funding costs fall and commercial lending rates should decline, stimulating borrowing and investment. In Vietnam, however, this channel operates with significant friction. Empirical evidence from the IMF (2024) estimates the pass-through coefficient at only 0.45–0.55 — meaning a 100-basis-point policy cut translates to just 45–55 basis points of reduction in actual lending rates, with a transmission lag of two to three quarters. The 2020

rate cut from 6.00% to 4.00% is the clearest example: despite a 200-basis-point easing, GDP still fell to 2.9% as COVID destroyed demand. The friction reflects three structural factors: oligopolistic bank pricing that reduces competitive pressure to pass cuts through; wide NPL-driven spreads that banks maintain provision for future losses; and administered deposit rate floors that limit how far funding costs can fall.

b) Bank Lending Channel

Bernanke and Gertler (1995) show that monetary policy affects the economy not only through the price of credit but through its quantity. When the SBV tightens system liquidity through reserve requirements or open-market operations, banks with reduced loanable funds ration credit — prioritizing their safest, most established borrowers and cutting access for informationally opaque ones: SMEs, rural households, and early-stage firms. This channel is the most powerful in Vietnam precisely because borrowers have nowhere else to turn when banks retrench. The SBV's annual credit-growth quota system operationalizes this channel directly: by assigning each bank an individual maximum credit growth ceiling, the SBV exercises direct quantity control over aggregate credit supply, independent of interest rate levels. In 2025, the SBV raised the initial 16% quota mid-year, producing ~18% actual credit growth and directly contributing to 8.02% GDP expansion.

c) Financial Accelerator and Asset Price Channel

Bernanke, Gertler, and Gilchrist (1999) demonstrate that asset prices amplify monetary cycles through collateral mechanisms. Rising property prices increase the collateral value of borrowers' balance sheets, allowing banks to extend more credit, which in turn supports further price appreciation — a self-reinforcing upswing. The reverse is equally powerful. Vietnam's 2022–2023 property market correction illustrates this precisely: as developer loan distress spread, collateral values fell, NPL ratios rose from 2.3% to 5.9%, and credit supply contracted even as the SBV was cutting policy rates. Monetary easing was offset by deteriorating bank balance sheets — a textbook financial accelerator working in reverse.

2.3 Development Finance Theory (Gerschenkron, 1962; McKinnon, 1973)

Development finance theory holds that in economies where capital markets are too thin to efficiently allocate investment, banks must perform a broader developmental function — mobilizing domestic savings and directing them toward the infrastructure, agricultural, and industrial investment that the country needs to grow. This theory provides the intellectual foundation for Vietnam's maintained reliance on state-owned commercial banks and explicit policy banks.

In Vietnam's case, the theory justifies three institutional features that would otherwise seem anomalous from a pure market-efficiency perspective. First, the Big-4 state-owned banks — Vietcombank, BIDV, VietinBank, and Agribank — collectively holding 41.5% of system assets, receiving preferential credit quota allocations, and operating under soft budget constraints reflects a deliberate policy choice to use banking as a development instrument. Second, the Vietnam Bank for Social Policies (VBSP), with VND 367.6 trillion in outstanding credit serving 6.9 million low-income borrowers at below-market rates, performs a direct social-development function that private banks operating under profit constraints would not provide. Third, the Vietnam Development Bank (VDB)

finances infrastructure, export promotion, and industrial policy projects outside SBV's statistical perimeter. However, development finance theory also creates a tension that runs throughout this report: state direction of credit produces developmental benefits but simultaneously generates moral hazard, governance vulnerabilities, and NPL accumulation — the very drawbacks analyzed in Section 3.3.

2.4 Financial Instability Hypothesis (Minsky, 1986)

Hyman Minsky's Financial Instability Hypothesis provides the most important cautionary framework for this report. Minsky argues that capitalist financial systems are inherently prone to cycles of stability and crisis — and that the mechanism driving these cycles is endogenous to the system itself. During prolonged periods of growth and low defaults, banks and borrowers progressively underestimate risk. They move through three stages: hedge finance, where borrowers' cash flow comfortably cover all debt obligations; speculative finance, where cash flows cover interest, but principal must be rolled over; and Ponzi finance, where borrowers depend entirely on rising asset prices to service and eventually repay their debts. At a system level, this drift from conservative to fragile financing is invisible until a shock — a rate rise, an asset price correction, or a loss of confidence — triggers a sudden reversal.

Applied to Vietnam, the Minsky framework is not merely theoretical — it describes the current trajectory with precision. The banking system has sustained 13–19% annual credit growth for over a decade. The credit-to-GDP ratio has reached 146%, the highest among lower-middle-income countries globally. System credit outstanding reached VND 18.4 quadrillion (~USD 670 billion) by December 2025. NPL ratios, after peaking at 5.9% in September 2023 following the property-market correction, have only partially recovered to 5.3% by March 2025. The SBV's own officials have flagged the credit-to-GDP ratio as a systemic risk signal. These indicators collectively suggest that Vietnam's banking system, while still functional and growth-supporting, has accumulated the fragility that Minsky warns precedes instability — and that the margin for policy error in 2026 is materially smaller than it was in 2019.

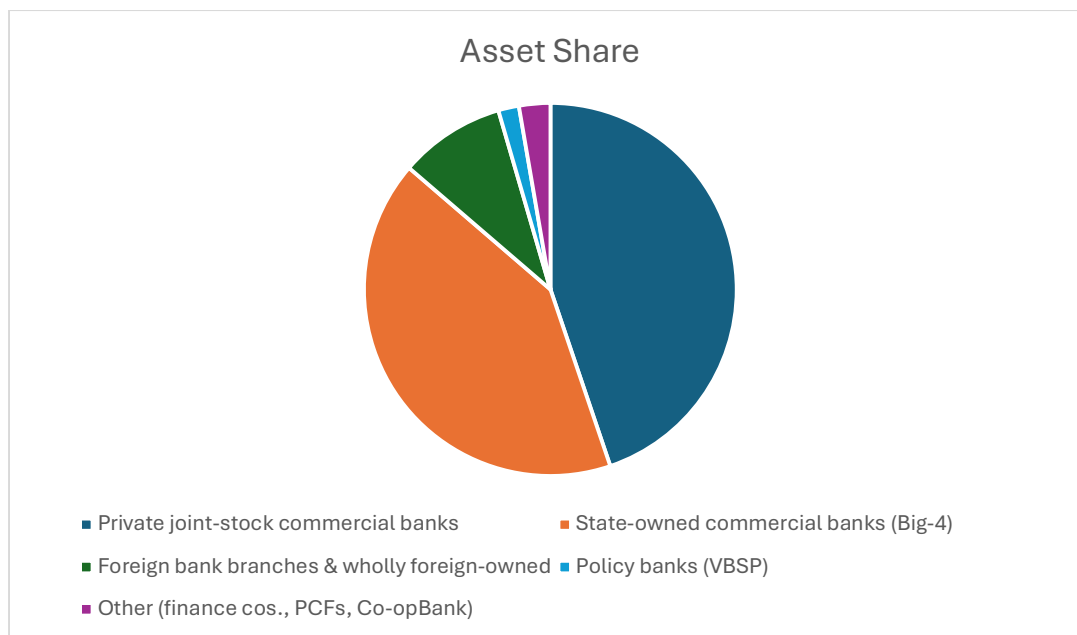
How the Four Theories Connect

- **Intermediation theory explains WHY banks dominate: no alternative capital-allocation institutions.**
- **Transmission channels explain HOW SBV policy reaches the economy — imperfectly, with lags.**
- **Development finance explains WHY the state built and maintains bank-centric finance.**
- **Minsky explains WHAT RISK that concentrated bank-centric models now accumulate.**
- **Together: effective while credit quality holds — fragile the moment it deteriorates.**

3. Banking Structure, Role and Drawbacks

3.1 Structure of the Banking System

Vietnam operates a two-tier system: the SBV as central bank and supervisor; commercial banks, policy banks, foreign branches, and fintech firms as the second tier. As of 30 June 2024, total system assets stood at VND 21.07 quadrillion (~USD 826 billion), growing to VND 25.8 quadrillion by September 2025 (SBV, 2024a; VietnamPlus, 2025).



Institution Group	Key Institutions	Asset Share (30 Jun 2024)	Primary Role
State-owned commercial banks	Agribank, BIDV, VietinBank, Vietcombank	41.5% — VND 8,748T	Corporate credit, policy lending, FDI banking
Private joint-stock banks	Techcombank, VPBank, MB, ACB, SHB, HDBank	44.8% — VND 9,430T	Retail, SME, digital banking
Foreign bank branches & wholly foreign owned	HSBC, Standard Chartered, Shinhan, UOB	9.2% — VND 1,940T	Trade finance, FDI corporates
Policy banks (VBSP)	Vietnam Bank for Social Policies	1.8% — VND 377T	Rural, social-policy, micro-lending
Other (finance cos., credit funds, Co-opBank)	FE Credit, HD SAISON, ~1,180 PCFs	2.7% — VND 569T	Consumer finance, rural micro-credit

Table 1. Asset Market Share by Institution Type, 30 June 2024. Source: SBV Key Statistical Ratios (VietnamPlus/Vietnam News, August 2024). Total system VND 21.07 quadrillion. Note: Vietnam Development Bank (VDB) lies outside SBV's statistical perimeter and is excluded. Fintech e-wallet operators (MoMo, ZaloPay, VNPAY) are not classified as credit institutions and are not included in banking-system assets.

E-Wallet / Fintech	Market Position	User Penetration	2023 Revenue
MoMo	Market leader	62–68% of e-wallet users	~USD 392M (loss-making)
ZaloPay	2nd	~14M users	~USD 42M (loss-making)
VNPay	Gateway / infrastructure	Widest merchant network	~USD 1.25B (profitable)
ShopeePay	3rd by usage	~25% of e-wallet users	N/A
ViettelPay	Telco-backed	~27% of e-wallet users	N/A

Table 2. Fintech E-Wallet Market — Transaction Share (not banking assets). Sources: Decision Lab Vietnam (2023–2024); Vietnam Investment Review (2024). Top-5 providers hold ~65% of e-wallet transaction volume. Note: fintech figures are user-penetration / transaction metrics, not comparable to banking asset shares.

Key structural features: (1) Private joint-stock banks now exceed state-owned banks in asset share (44.8% vs 41.5%), reversing the historical SOCB dominance. (2) The Big-4 state-owned banks still command 52.6% of deposits and 51% of loans within the commercial-bank universe (FiinRatings, 2024). (3) BIDV is the largest commercial bank by assets (~VND 2,700T at end-2024). (4) 14 banks are designated systemically important by the SBV.

3.2 Role in the Macroeconomy

Vietnam's banking system performs five core macroeconomic functions. As capital provider, banks supply ~80% of external corporate finance — manufacturing, infrastructure, working capital — because bond and equity markets are too shallow to compete. As monetary transmission conduit, every SBV impulse (rate changes, credit quotas, OMO) passes through bank balance sheets: in 2025, the SBV raised the 16% quota mid-year to produce actual credit growth of ~18%, the highest in years, directly driving 8.02% GDP growth. As trade finance engine, banks support USD 405 billion in 2024 exports via letters of credit, FX hedging, and 60–120-day working-capital lines for textiles, electronics, and footwear exporters. As financial inclusion infrastructure, 74% of adults are now banked (up from 30% in 2017), with Agribank providing ~65% of all agricultural credit through VND 1.9 quadrillion in outstanding rural loans. As shock absorber, SBV Circular 02 restructured USD 5.04 billion in COVID-affected loans by August 2024, preventing default cascades — though at the cost of delayed NPL recognition.

Five Macroeconomic Roles

- **Capital formation:** ~80% of external corporate finance through banks.
- **Monetary transmission:** credit quotas are the dominant SBV instrument, not interest rates.
- **Export-led growth:** trade finance backbone for USD 405B export sector.
- **Financial inclusion:** 74% banked adults; Agribank anchors rural credit.
- **Stabilization:** loan restructuring during shocks (COVID Circular 02, property correction).

3.3 Drawbacks and Structural Challenges

Four structural weaknesses constrain the system's effectiveness and create medium-term macroeconomic risks:

- Credit concentration: 80% of external corporate finance flows through banks; credit-to-GDP at 146% — highest among lower-middle-income countries globally — means any banking-sector stress transmits immediately and fully to the real economy (SBV, 2026).
- Asset quality deterioration: on-balance-sheet NPLs rose from 2.3% (2022) to a peak of 5.9% (September 2023), declining only partially to 5.3% by March 2025. Inclusive NPLs (including restructured loans and VAMC-transferred assets) are materially higher. CAR stands at ~10.4% for state-owned banks and ~12.1% for private banks — Basel II minimums, below regional peers (IMF, 2025).
- Transmission friction: incomplete rate pass-through (~0.45–0.55) and a 2–3 quarter lag forces the SBV to rely on administrative credit quotas rather than price signals — rewarding quota utilization over credit quality and distorting lending incentives medium-term.
- Funding fragility: the system loan-to-deposit ratio has exceeded 100%; liquid assets were only ~7.8% of total assets in June 2024. Banks are increasingly reliant on wholesale funding — a vulnerability in any sudden-stop scenario.

Four Structural Drawbacks

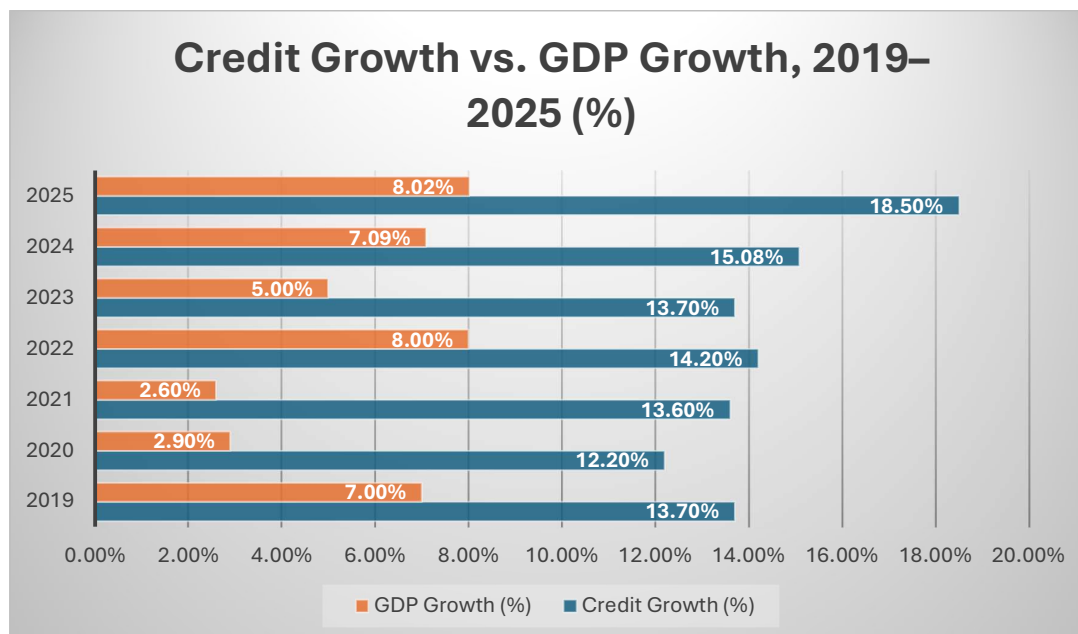
- **Credit concentration: 146% credit-to-GDP — highest in income group.**
- **Asset quality: NPLs 5.3% (Mar 2025); inclusive NPLs materially higher.**
- **Transmission friction: ~50% rate pass-through; reliance on quantity quotas.**
- **Funding fragility: LDR above 100%; liquid assets only 7.8% of total assets.**

4. Impact of the Banking System on the Macroeconomy

This section analyzes how the banking system's structure and behavior translate into four macroeconomic outcomes: GDP growth, inflation, financial stability, and regional standing.

4.1 Impact on GDP Growth

Credit expansion is the banking system's most direct macroeconomic lever. The data show a strong but incomplete correlation with GDP: credit availability is necessary but not sufficient for growth.



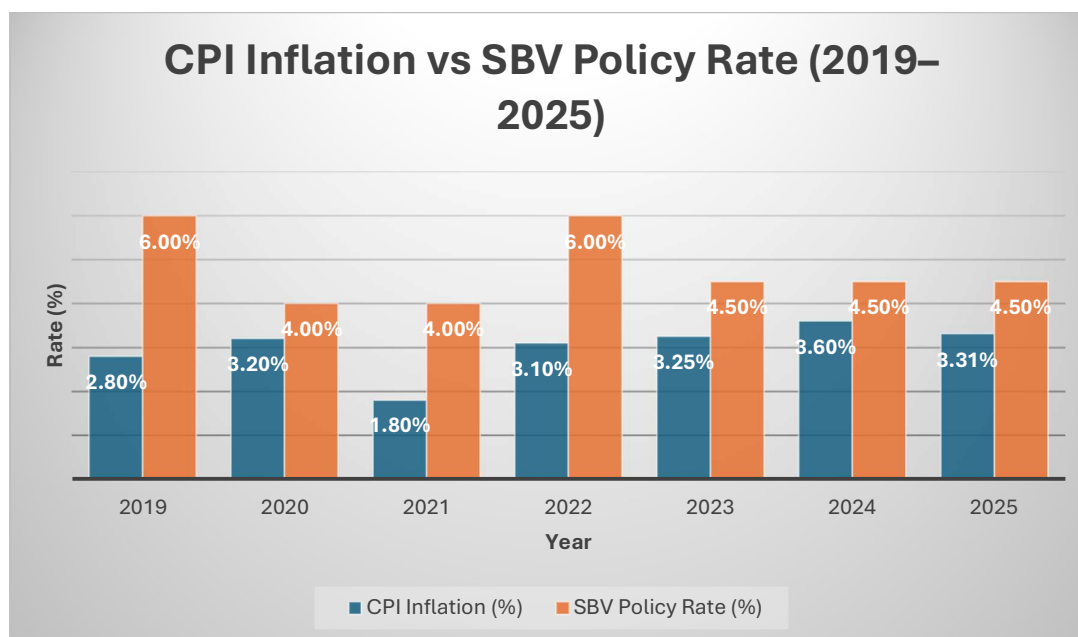
Year	Credit Growth	GDP Growth	SBV Quota	Key Driver
2019	13.7%	7.0%	14%	Pre-COVID stability
2020	12.2%	2.9%	14%	COVID demand shock overrode credit supply
2021	13.6%	2.6%	12%	Delta wave; supply disruption
2022	14.2%	8.0%	14%	Post-COVID rebound; quota fully utilized
2023	13.7%	5.0%	14%	Property market stress dampened demand
2024	15.08%	7.09%	15%	Export recovery; strong FDI inflows
2025 (actual)	~18–19%	8.02%	16% (raised mid-yr)	Highest credit growth since 2011
2026 (target)	TBD	≥10%	TBD	Most ambitious growth target in modern history

Table 3. Credit Growth vs. GDP Growth, 2019–2026. Sources: SBV (2024b; 2025; 2026); NSO Vietnam (2026); VietnamPlus (2025; 2026); IMF (2024; 2025).

The 2020–2021 decoupling shows that credit cannot replace demand. The 2025 result — ~18% credit growth producing 8.02% GDP — shows the quota system actively managing demand. The SBV's warning that credit-to-GDP reached 146% signals that future tightening cycles will carry greater balance-sheet pain.

4.2 Impact on Inflation

Despite accommodative credit policy in multiple years, Vietnam maintained CPI within its 4–4.5% target for 11 consecutive years through 2025 — a notable achievement that reflects coordinated use of the banking transmission channel, administered price controls, and managed FX.



Year	CPI Inflation	Policy Rate	Stance	Context
2019	2.8%	6.00%	Neutral	Stable global prices
2020	3.2%	4.00%	Easing	COVID; oil collapse
2021	1.8%	4.00%	Easing	Supply chain disruption
2022	3.1%	6.00%	Tightening	Global commodity spike
2023	3.25%	4.50%	Easing	Global disinflation
2024	3.6%	4.50%	Neutral	VND depreciation pressure
2025 (actual)	3.31%	4.50%	Supportive	Strong growth; managed VND
2026 (target)	<4.5%	4.50% (est.)	Cautious	≥10% GDP target; oil & fee risks

Table 4. CPI Inflation and SBV Policy Stance, 2019–2026. Sources: NSO Vietnam (2026); IMF WEO (2024); GSO Vietnam; SBV Annual Reports.

The 2022 episode is instructive: rapid SBV tightening transmitted through commercial banks contained CPI at 3.1% despite the worst global commodity shock in decades. For 2026, the 10% GDP target creates inflationary pressure — healthcare fee reform, energy prices, and VND weakness all represent upside risks to the 4.5% ceiling.

4.3 Impact on Financial Stability

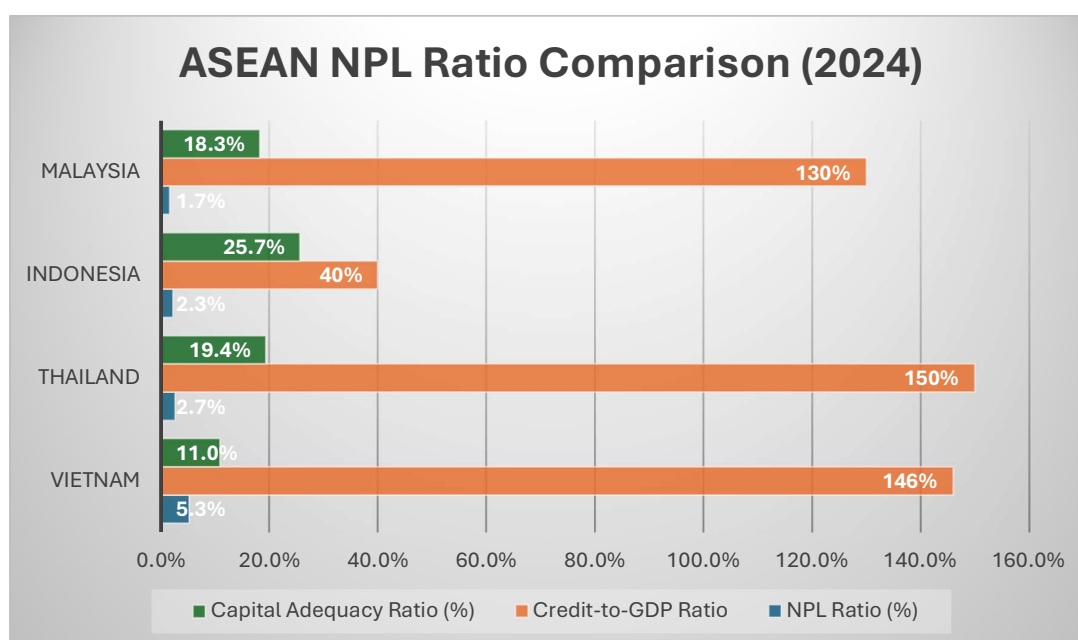
Indicator	Vietnam (~2024–2025)	ASEAN Avg.	Macroeconomic Implication
Adults with bank account	~74%	~75–80%	Strong; gaps remain in rural/elderly
SME formal credit access	~30% have bank loans	~35–50%	Underserved segment; monetary gap
Deposit insurance coverage	VND 125M per depositor	Higher in most peers	Below international norms
NPL ratio (headline)	5.3% (Mar 2025)	~2–3%	Highest among ASEAN peers
Credit-to-GDP ratio	146%	40–150% (varies)	Highest among lower-middle income
Loan-to-deposit ratio	>100%	<90% most peers	Wholesale funding dependency
Liquid assets / total	~7.8% (Jun 2024)	>10% most peers	Limited shock buffer
CAR — state-owned banks	~10.4%	>12% best practice	Below regional peers
CAR — private banks	~12.1%	>12% best practice	Meets minimum; limited buffer

Table 5. Financial Stability and Inclusion Indicators, 2024–2025. Sources: IMF Country Report 25/283 (2025); World Bank Global Findex (2025); SBV (2026); Vietnam Investment Review (2025).

The IMF's 2025 Article IV called on Vietnam to bolster capital buffers, phase out forbearance, and strengthen crisis-management tools. If NPLs rise faster than banks can provision, credit constraints will emerge precisely when the economy needs $\geq 10\%$ growth in 2026. The Amended Law on Credit Institutions (October 2025) strengthens collateral seizure — a necessary step whose effectiveness depends entirely on supervisory willingness to apply it.

4.4 ASEAN Comparative Context

Benchmarking Vietnam against selected ASEAN peers provides perspective on where the banking system stands regionally. While Vietnam's credit-to-GDP ratio is comparable to Thailand, it carries a materially higher NPL ratio and lower capital buffers — without Thailand's deep capital markets to absorb shocks. This makes Vietnam's elevated leverage more consequential than the headline figures alone suggest.



Sources: World Bank Financial Development Database (2024); ADB Key Indicators (2024); IMF Country Report 25/283 (2025); FiinRatings (2024). CAR figures approximate.

Indicator		Vietnam	Thailand	Indonesia	Malaysia
Credit-to-GDP (2024)		~146%	~150%	~40%	~130%
Capital market depth		Low	Medium-High	Medium	High
Bank dominance		Very High	Medium	Medium	Medium
NPL ratio (headline, 2024)		~5.3%	~2.7%	~2.3%	~1.7%
Regulatory maturity		Developing	Mature	Developing	Mature

Table 6. ASEAN Banking System Comparison. Sources: World Bank Financial Development Database (2024); ADB Key Indicators (2024); IMF (2025).

Vietnam's credit-to-GDP is comparable to Thailand — but unlike Thailand or Malaysia, Vietnam lacks the deep capital markets to absorb banking shocks. Its NPL ratio is the highest among peers. This dual exposure — high leverage plus weak buffers — makes the banking system both Vietnam's growth engine and its biggest systemic risk.

5. Findings and Evaluation

The following four findings represent the group's own analytical judgments based on the data and framework presented above.

Finding 1: Bank-Centrism Has Driven Growth — But Creates Systemic Concentration Risk

Vietnam's banking system has been indispensable to two decades of high growth. Credit growth above 13% annually, Agribank's rural finance, trade finance for exporters, and rapidly expanding digital payments have all contributed. However, routing ~80% of corporate finance through banks means any banking-sector stress — NPL surge, property correction, funding shock — transmits immediately and fully to the real economy. Vietnam lacks the capital market buffers available to Thailand or Malaysia. This is the most important structural vulnerability identified in this report.

Finding 2: The Credit Quota is the Real Monetary Instrument — Not the Policy Rate

The SBV's credit-growth quota, not the policy interest rate, is the dominant transmission tool. The 0.45–0.55 pass-through ratio and the 2–3 quarter lag make rate-based transmission too slow and incomplete to be relied upon. In 2025, mid-year quota expansion drove ~18% credit growth and 8.02% GDP — confirming that quantity controls, not price signals, steer Vietnam's economy. This is appropriate now but distortionary long-term: quotas reward utilization over quality and entrench state-owned banks' competitive advantage through preferential allocations.

Finding 3: NPL Risk is the Most Urgent Near-Term Threat

NPLs at 5.3% (headline, March 2025) — the highest among ASEAN peers — and materially higher on an inclusive basis represent the system's most pressing vulnerability. If NPLs rise further as forbearance unwinds, banks must choose between capital preservation (constraining lending) or leverage stretching (risking solvency). Either outcome undermines the $\geq 10\%$ GDP growth target for 2026. The Amended Law on Credit Institutions (October 2025) strengthens resolution tools, but regulatory capacity — not legal framework — is the binding constraint.

Finding 4: Digital Finance is an Inclusion Success and an Emerging Systemic Risk

Vietnam's digital finance transformation — 74% banked adults, MoMo with 62–68% e-wallet penetration, QR payments up 81% YoY in Q1 2025 — is a genuine macroeconomic success, broadening monetary policy reach to previously unserved segments. However, 40+ e-wallet operators, peer-to-peer platforms, and integrated super-apps create cybersecurity, data-breach, and operational-contagion risks that current regulation addresses only at the firm level. The group recommends treating digital operational resilience as a macroprudential concern — including system-level stress testing and mandatory capital buffers for operational risk.

Group's Overall Assessment

- **Strength: Banking system has effectively powered two decades of high growth.**
- **Strength: Digital inclusion is advancing rapidly, broadening monetary reach.**
- **Vulnerability: Bank-centric finance means banking stress = macroeconomic stress.**
- **Vulnerability: NPLs at 5.3% and credit-to-GDP at 146% are the top near-term risks.**
- **Priority: Capital market development and macroprudential tools to diversify risk.**

6. Conclusion

Vietnam's banking system is not merely a financial intermediary — it is the central infrastructure of the macroeconomy. It mobilizes savings, allocates capital, transmits monetary policy, finances exports, drives financial inclusion, and stabilizes the economy during shocks. These functions have underpinned GDP growth consistently above 6% for two decades, culminating in 8.02% growth in 2025 supported by ~18% credit expansion.

Yet the same bank-centrism is the system's greatest vulnerability. With credit-to-GDP at 146%, NPLs at 5.3%, LDR above 100%, liquid assets at 7.8% of total, and capital buffers below regional peers, the banking system is accumulating precisely the financial fragility that Minsky's hypothesis predicts. The SBV's reliance on administrative credit quotas rather than price-based transmission adds medium-term distortions to these near-term risks.

The group's five policy recommendations:

- Accelerate NPL resolution through transparent asset-quality reviews, expanded VAMC tools, collateral enforcement under the October 2025 CI Law, and an end to forbearance-based restructuring.
- Strengthen bank capital — especially at state-owned banks — through retained earnings, equity issuance, and dividend policies aligned with risk rather than fiscal transfers.
- Develop corporate bond and equity markets to diversify long-term corporate finance away from bank balance sheets, reducing systemic concentration.
- Gradually replace credit quotas with macroprudential tools — sectoral risk weights, loan-to-value limits, dynamic provisioning — that preserve stability without distorting credit allocation.
- Treat digital operational resilience as macroprudential policy: system-level stress testing, mandatory incident reporting, and operational risk capital across all licensed credit and payment institutions.

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